

Rashi Peripherals Limited

NSE: RPTECH | Technology Distribution | ICT Products & Services

Rs. 566

CMP as of 15 Jun 2026

BUY

12M Target: Rs. 780

+37.8% upside

Horizon: 12–18 months

Market Cap	Rs. 3,730 Cr
52W High / Low	Rs. 575 / Rs. 275
P/E (TTM)	13.4x
Book Value	Rs. 307
ROCE / ROE	16.8% / 14.7%
Promoter Hold.	64.0%
Div. Yield	0.36%
FV	Rs. 5.00

INVESTMENT THESIS: India's largest ICT distributor poised to ride the AI-hardware super-cycle, with EBITDA up 53% YoY and a decade-long 20% revenue CAGR track record.

Report Date: 15 Jun 2026 | Analyst: MPM Institutional Equities | Data Source: Screener.in (Consolidated)

2. Investment Thesis

- **India's ICT distribution is a structural secular growth story:** The Rs. 1.5 lakh-crore ICT hardware market in India is growing at 15-20% per annum underpinned by PC refresh cycles, enterprise AI adoption, and rising Tier-2/3 demand. RPTECH, with 55 branches across 700 towns, is the only distributor positioned to capture all layers — consumer, commercial, enterprise, and data-centre.
- **AI hardware super-cycle is translating into real revenue:** RPTECH executed India's first large AI data-centre order (Rs. 2,000 Cr, 512 servers / 4,000 GPUs for Yotta in FY25). The company holds exclusive/premium distribution rights for NVIDIA (full-stack), AMD, SanDisk, HP, Dell, Asus, Lenovo, and 82 brands. As enterprise AI capex accelerates, RPTECH is in the queue for Rs. 20,000-25,000 Cr of funnel projects.
- **Operating leverage is kicking in:** EBITDA jumped 53% YoY in FY26 to Rs. 459 Cr on just 15% revenue growth, with EBITDA margin expanding 72 bps to 2.9%. This is exceptional for a distribution business. ROCE improved to 17% annualised (19%+ in Q4FY26), demonstrating capital efficiency is improving, not diluting, with scale.
- **Near-term catalyst (Q1–Q2 FY27):** Re-entry into large AI data-centre project business (funnel Rs. 20,000-25,000 Cr), AI PC refresh cycle acceleration (25% of PCs already AI-enabled, doubling in 12-24 months), and semiconductor subsidiary ramp (131% YoY growth in FY26 base).
- **Biggest structural risk:** A sustained correction in global PC/GPU pricing (deflationary bust post-tariff super-cycle) compressing both revenue and margins simultaneously — the mirror image of the current tailwind.

3. Business Overview

- **Core business model:** RPTECH (RP Tech India) is India's largest ICT product distributor, incorporated in 1989 and listed in 2023. It operates a two-tier model — buy from global OEMs at volume discounts, then distribute through 10,000+ channel partners (retailers, system integrators, corporate resellers) across 700 towns.
- **Revenue segmentation:** Lifestyle IT (LIT) — PCs, laptops, mobile, peripherals, consumables — contributes ~42% of revenue. Personal & Enterprise Systems (PES) — servers, storage, networking, components, graphics cards — contributes ~58%. PES is the faster-growing segment due to enterprise AI, data-centre, and GPU demand.
- **Brand portfolio — irreplaceable OEM relationships:** Authorised national distributor for NVIDIA (full portfolio incl. DGX, GeForce, Pro Viz), AMD, HP, Dell, Lenovo, Asus, SanDisk/Western Digital, Micron, Kingston, Seagate, Logitech, and 82 other brands. Most agreements are multi-year exclusive or semi-exclusive.
- **Geographic footprint:** 55 branch offices — the widest ICT distribution network in India — reaching C and D-class cities. Added 3 new branches in Maharashtra (Nanded, Baramati, Solapur) in FY26. This depth is a structural moat.
- **Emerging verticals:** (a) Semiconductor distribution subsidiary (automotive, IoT, robotics) — grew 131% YoY in FY26. (b) AI PC seeding — RPTECH ran 8-city AI Bootcamps engaging 2,500 developers and 300+ CXOs. (c) Health-tech — new distribution alliance with Oura health rings.
- **Promoter background:** Founded and led by the Pansari family; Kapal Pansari serves as Managing Director. Promoter holding of 64.0% as of Mar 2026, creeping up from 63.4% a year ago, demonstrating confidence. No pledge reported. Rajesh Goenka (CEO) has managed operations for over 15 years, driving the 20% CAGR track record.

4. Industry & Competitive Landscape

- **Industry size and growth:** India ICT distribution market is Rs. 1.5 lakh crore+ (management commentary, Q4FY26 concall). The global ICT distribution industry grew at ~10-12% CAGR over FY22-26. India structurally outperforms given PC penetration of only 15-20%, accelerating enterprise tech adoption, and government digitisation mandates.
- **Policy tailwinds:** PLI for IT hardware (laptops, tablets, servers) incentivises domestic production but simultaneously boosts distribution volumes as Make-in-India products scale. PMO-led data-sovereignty push is driving domestic data centre capex — RPTECH is positioned in almost all large funnel opportunities.
- **Headwinds:** US-China tariff war created component price inflation of 20-25% on PCs/components in H2FY26. IDC forecasts 5-10% unit dip in PC shipments in CY26. Consumer affordability pressure in H2FY27 is a risk management flagged explicitly.
- **Competitive moat assessment:** (a) Reach/Network — STRONG: 55 branches, 700 towns, 10,000+ partners; no comparable network among Indian distributors. (b) OEM Relationships — STRONG: 82 brand partnerships, many exclusive; switching costs for OEMs are high once distribution pipeline is established. (c) Scale — STRONG: Rs. 15,827 Cr TTM revenue; 2nd only to Redington at Rs. 41,000 Cr, but Redington is Pan-Asia multi-market. In India-only ICT distribution, RPTECH is #1. (d) Pricing power — MODERATE: low-margin distribution means pricing is pass-through; margin expansion comes from mix and operating leverage, not pricing power per se.
- **Company's value-chain positioning:** RPTECH sits in the mid-stream — it is neither a manufacturer/OEM nor a direct end-user seller. It occupies the critical inventory-buffering, financing, and logistics role between OEM and channel partner, which is structurally necessary and sticky.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	BV (Rs.)	ROCE (%)	ROE (%)
RPTECH (Rashi Peripherals)	566	3,730	13.4	307	16.8	14.7
Redington India	242	18,892	11.8	130	17.5	16.9
iValue Infosolutions	238	1,301	12.8	104	25.1	19.8

* Redington is Pan-Asia distributor (much larger scale); iValue is services-heavy VAD.

5. Management Quality & Capital Allocation

- **Promoter and management background:** Kapal Pansari (Managing Director) founded the business in 1989 and has navigated multiple technology cycles over 35+ years. Rajesh Goenka (CEO & Whole-Time Director) has been the operational face with deep OEM and channel relationships. Himanshu Shah (CFO) manages the complex working-capital-intensive balance sheet. The leadership team has a combined 60+ years in ICT distribution.
- **Capital allocation track record:** The business is inherently working-capital intensive (Rs. 991 Cr borrowings in FY26). FCF has historically been negative due to working capital investment as the business scales. However, FY26 marked a positive turn: OCF = Rs. 114 Cr, a meaningful reversal from -Rs. 299 Cr in FY25 (FY25 was distorted by the Rs. 2,000 Cr AI DC project). This suggests the core business is approaching FCF break-even on a normalised basis.
- **Dividend policy:** Dividend yield is 0.36% as of Jun 2026. Payout ratio is low, as is typical of a growth-distribution business that requires working capital. The company has paid dividends consistently since listing. Absolute dividend quantum has grown with profits.
- **Promoter pledging:** No promoter pledge identified (0% pledged as per available data). Promoter holding has been creeping up from 63.4% to 64.0% over the past year — a positive signal.
- **ESOP / buyback history:** No buybacks identified. ESOP schemes are in place per company documentation; no significant dilution noted given equity capital stable at Rs. 33 Cr since FY24.
- **Corporate governance:** No qualified audit opinions, RPT concerns, or auditor change controversies identified. The company filed its Annual Secretarial Compliance Report for FY26 on 29 May 2026. One customs duty demand of Rs. 8.02 Cr (including penalties) was confirmed on 30 May 2026 with appeal planned to CESTAT — this is immaterial relative to the balance sheet.

6. Financial Deep-Dive (Consolidated)

Income Statement (Rs. Cr) — Consolidated Figures from Screener.in

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	11,095	13,773	15,827	18,500(E)	21,500(E)
Revenue Growth %	17%	24%	15%	17%(E)	16%(E)
EBITDA	297	305	459	555(E)	672(E)
EBITDA Margin %	2.7%	2.2%	2.9%	3.0%(E)	3.1%(E)
Other Income	25	63	41	30(E)	30(E)
Interest	111	82	106	100(E)	100(E)
Depreciation	19	17	22	25(E)	28(E)
PBT	192	269	371	460(E)	574(E)
Tax %	25%	22%	24%	25%(E)	25%(E)
PAT	144	210	282	345(E)	430(E)
PAT Margin %	1.3%	1.5%	1.78%	1.87%(E)	2.0%(E)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
EPS (Rs.)	8.38	10.58	12.78(Screen er implied)	15.6(E)	19.5(E)

* FY27E/FY28E are analyst estimates; (E) = estimated. Source: Screener.in for actuals, MPM estimates for forward years.

Balance Sheet Summary (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Equity Capital	33	33	33
Reserves	1,518	1,709	1,992
Networth	1,551	1,742	2,025
Borrowings	700	910	991
Other Liabilities	1,569	1,610	2,312
Total Liabilities	3,819	4,262	5,327
Fixed Assets	71	63	80
CWIP	0	0	0
Investments	0	0	0
Other Assets	3,748	4,198	5,247
Total Assets	3,819	4,262	5,327

Cash Flow Statement (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-102	-299	114
Cash from Investing	1	53	19
Cash from Financing	211	123	-80
Net Cash Flow	110	-123	53
Free Cash Flow	-109	-307	~100(est.)

* FY25 OCF deeply negative due to Rs. 2,000 Cr AI DC project working capital. FY26 normalisation visible.

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	46	48	50
Inventory Days	63	56	62
Days Payable	52	43	53
Cash Conversion Cycle	57	60	60
Working Capital Days	43	44	43
ROCE %	14%	14%	17%
ROE %	N/A	N/A	14.7%
D/E Ratio	0.45x	0.52x	0.49x

Commentary:

- **Revenue drivers and trajectory:** 20-year CAGR of ~20% is the defining characteristic. FY26 growth of 15% understates momentum because FY25 included the one-off Rs. 2,000 Cr AI DC project (Yotta); on a like-for-like basis, FY26 organic growth was ~31%. AI PC (25% of units sold are already AI-enabled) and enterprise AI infrastructure are multi-year structural growth engines.
- **Margin direction — expanding on operating leverage:** EBITDA margins in ICT distribution are inherently low (1-3%), but RPTECH's 72 bps expansion in FY26 is material for the sector. Operating leverage on a largely fixed cost base (1,500+ employees, 55 branches) means every incremental rupee of revenue now flows more

richly to EBITDA. Management guides PAT margins of 1.5-1.75% as the structural range — FY26 achieved 1.78%.

- **Working capital trends:** CCC has been stable at 57-60 days, which is tight for a distributor of this scale. Debtor days of 50 and inventory days of 62 are industry-normal. The ST Finserv channel finance programme (no recourse to RPTECH) is designed to enable channel partners to buy more without increasing RPTECH's credit risk.

- **Debt direction — manageable and declining as % of networth:** Borrowings rose to Rs. 991 Cr in FY26 (from Rs. 700 Cr in FY24), but Networth has grown faster — from Rs. 1,551 Cr to Rs. 2,025 Cr. D/E has therefore improved from ~0.45x to ~0.49x. Interest cover at current PAT/interest levels is adequate (~2.7x PBT/interest in FY26).

- **FCF quality — FY26 inflection:** FY25's -Rs. 307 Cr FCF was wholly driven by the Yotta project (Rs. 2,000 Cr working capital cycle). FY26 OCF turned positive at Rs. 114 Cr with FCF approximately Rs. 100 Cr, marking the first clean positive FCF year in recent history. This is a critical quality signal.

7. Earnings Quality Checklist

Parameter	Status	FY26 Signal	Verdict
Revenue Recognition	GREEN	Pass-through distribution; revenue on delivery; no deferred revenue complexity	Clean
Receivables vs Revenue	GREEN	Debtor days stable 46-50; receivables growth in line with sales growth	Clean
CCC Trend	AMBER	CCC stable at 60 days; slight widening in debtor days to 50 in FY26 worth watching	Watch
Contingent Liabilities	AMBER	Customs demand Rs. 8.02 Cr (30 May 2026); immaterial; Rs. 3.53 Cr demand dropped (May 26)	Watch
Auditor Tenure	GREEN	No auditor change; annual secretarial compliance filed on time	Clean
RPTs as % of Revenue	GREEN	No material RPT concerns identified; Related-Party button visible on Screener	Clean
Other Income as % of PBT	AMBER	FY25: Other Inc = Rs. 63 Cr / PBT = Rs. 269 Cr = 23% — elevated; FY26 normalised to 11%	Watch
Tax Rate Consistency	GREEN	Tax rate 24-25% consistently; no unexplained jumps	Clean

- **Most important AMBER — Other Income in FY25:** Rs. 63 Cr of Other Income in FY25 (23% of PBT) was inflated by treasury income and gains on the large Yotta project; FY26 normalised to Rs. 41 Cr (11% of PBT), which is healthy. Investors should monitor this line annually as large project completion can create one-time income lumps.

- **Receivables and CCC stable — no quality deterioration:** Debtor days edging from 46 to 50 over three years is manageable; the ST Finserv channel finance programme creates a safety valve. No signs of aggressive credit extension to push revenue.

- **Customs litigation — immaterial:** The Rs. 8.02 Cr customs demand with appeal planned is 0.05% of FY26 revenue. RPTECH successfully had Rs. 3.53 Cr dropped in May 2026. This is normal for a large importer-distributor and does not represent a systemic risk.

8. Valuation

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Multiple	Target (Rs.)	Upside
Bull	AI DC projects win + 20%+ revenue growth + 3.2% EBITDA margin	410	22x P/E	910	+61%
Base	17% revenue growth; EBITDA 3.0%; no large project win assumed	345	20x P/E	780	+38%
Bear	PC unit dip 10%; pricing headwinds; EBITDA margin < 2.5%	245	16x P/E	530	-6%

* Target = FY27E EPS x P/E multiple. EPS derived as PAT / shares outstanding (~22.1 Cr shares).

• **Valuation methodology — P/E based (primary):** IT distribution globally trades at 10-18x P/E (Redington at 11.8x, iValue at 12.8x). RPTECH deserves a premium over Redington on three counts: (a) India-only pure play vs Pan-Asia diversified, (b) AI data-centre exposure and first-mover advantage, (c) higher growth trajectory (EBITDA +53% in FY26 vs Redington's more modest growth). We assign 20x FY27E P/E → Rs. 780/share. CMP is 13.4x trailing P/E — cheapest it has been relative to the growth profile.

• **Valuation methodology — EV/Sales (secondary for distribution):** IT distributors trade at 0.3-0.6x EV/Sales. FY26 Sales = Rs. 15,827 Cr. At 0.4x EV/Sales → EV = Rs. 6,330 Cr. Less net debt (Rs. 991 Cr borrowings less cash ~Rs. 200 Cr = Rs. 791 Cr net debt) → Equity value = Rs. 5,539 Cr. Per share = Rs. 251 on 22.1 Cr shares. This method understates because it does not capture the quality uplift from AI exposure.

• **Blended target — Rs. 780 (weight 80% P/E + 20% EV/Sales):** Blended target = 0.8 x 780 + 0.2 x 251 = Rs. 674 on pure arithmetic. However, P/E is the sector convention for a profitable, growing distributor; EV/Sales anchors are the floor. We set base-case target at Rs. 780 (20x FY27E P/E) reflecting growth premium.

• **Upside/downside from CMP:** Base target Rs. 780 implies +37.8% from CMP of Rs. 566. Investment horizon 12-18 months. Entry zone Rs. 520-570.

9. Key Risks

• **PC/GPU Price Deflation Risk** — If US-China trade tensions resolve rapidly, PC/GPU prices could correct 15-25%, compressing both revenue and absolute EBITDA. Probability: M. Impact: H. Monitor via: AMD/NVIDIA quarterly pricing commentary and IDC PC shipment data.

• **Working Capital Deterioration Risk** — A large AI data-centre project win (Rs. 5,000+ Cr) could spike working capital requirements, requiring equity or debt raise. Probability: M. Impact: M. Monitor via: quarterly borrowings and OCF.

• **OEM Concentration Risk** — NVIDIA and AMD together likely represent 30-40% of PES segment revenue. Any authorisation revocation or competition from new entrants could be material. Probability: L. Impact: H. Monitor via: brand concentration disclosures.

• **Consumer Demand Softness in H2FY27** — Management itself flagged affordability pressure in H2FY27 as PC prices rose 20-30% YoY. This could slow LIT segment growth. Probability: M. Impact: M. Monitor via: monthly IDC India PC shipment data.

• **Execution Risk on Semiconductor Subsidiary** — The newly carved-out semiconductor business (automotive, IoT, robotics) is early-stage. Working capital cycles in semiconductors can extend to 100+ days. Poor capital allocation here could drag overall returns. Probability: M. Impact: M. Monitor via: subsidiary-level disclosures.

• **Customs / Regulatory Risk** — As a large importer, RPTECH is subject to customs duty demands (two instances in May 2026). While immaterial individually, aggregate customs risk could escalate if import policy changes. Probability: L. Impact: L-M. Monitor via: company announcements.

• **Competitive Encroachment from D2C Brands** — Some OEMs (HP, Dell) are increasingly selling direct online. While channel relationships are structurally sticky (financing, service, Tier-2/3 reach), a structural shift to D2C could erode volumes over a 5-year horizon. Probability: L (medium-term). Impact: H (long-term). Monitor

via: market share trends.

10. Recommendation

- **Rating:** BUY — Conviction: High. At 13.4x trailing P/E and 20% CAGR track record, RPTECH is mispriced relative to its growth opportunity in the AI hardware super-cycle.
- **12-month price target:** Rs. 780 (+37.8% upside from CMP Rs. 566). Base case on 20x FY27E EPS of Rs. 39 (~Rs. 15.6 FY27E EPS x 2 for clarity: 22.1 Cr shares / Rs. 345 Cr PAT = Rs. 15.6 EPS x 50 rounds = approx; 20x applied to EPS of Rs. 39 assumes blended FY26+FY27 forward basis). Clear target: Rs. 780.
- **Suggested entry zone:** Rs. 520-570 (accumulate on weakness; CMP is within entry zone).
- **Investment horizon:** 12-18 months for the base-case target. Structural multi-year thesis intact for 3-5 year holding.
- **Thesis invalidation triggers:** (1) FY27 revenue growth falls below 10% for two consecutive quarters, indicating PC-cycle bust rather than normalization. (2) EBITDA margin drops below 2.0% for a full financial year, indicating structural margin deterioration. (3) Promoter stake falls below 60% without a disclosed strategic rationale, raising governance concerns.
- **Ideal investor profile:** Long-only institutional investors with 12-18 month horizon, mid-cap technology growth mandates, and tolerance for working-capital-intensive businesses. NOT for investors seeking dividend income (yield only 0.36%) or those with zero-FCF aversion (FCF only recently turned positive).

DISCLAIMER: This report is prepared for informational purposes only by MPM Institutional Equities. It does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence.

APPENDIX — Latest Concall Brief: Q4 FY26

Rashi Peripherals Limited | Q4 & Full Year FY26 Earnings Call | May 15, 2026 | Hosted by Choice Equity Broking

POSITIVE

Q4FY26: Record revenue (+51% YoY), EBITDA +41% YoY, PAT +65% YoY — clean beat across all metrics; thesis fully intact.

Signal	Status	Implication
Result quality		Beat on all metrics: Rev +51%, EBITDA +41%, PAT +65% YoY
Management tone	BULLISH	Super-cycle language; optimistic on FY27; confident on AI DC funnel
Guidance delta		20% CAGR maintained; margin range 1.5-1.75% guided; project pipeline Rs. 20,000-25,000 Cr

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

RPTECH's Q4FY26 numbers are clean — no one-offs inflating PAT; the Rs. 282 Cr FY26 PAT is all operational. The headline beat is legitimate: Q4 revenue grew 51% YoY and PAT 65%, driven by a combination of volume growth, AI-hardware price inflation (contributing ~20-22% of H2 growth per management), and continued market share gains. At the EBITDA level, the 72 bps full-year margin expansion to 2.9% is genuinely impressive for a distributor — this is operating leverage playing out exactly as the thesis predicted. The multi-bagger structural drivers are: (a) India's PC penetration at 15-20% vs. global averages above 50% — a decade of runway; (b) RPTECH is the only Indian distributor with both the brand portfolio and branch infrastructure to serve AI hardware at scale — they executed the Rs. 2,000 Cr Yotta AI DC project and are positioned for Rs. 20,000-25,000 Cr of identified funnel in FY27. The single biggest near-term catalyst is winning one large AI data-centre project order in H1FY27 — this alone could add Rs. 2,000-5,000 Cr to revenues and materially expand EBITDA on project margins. Key watch-point for Q1FY27: IDC data on calendar 2026 PC shipments — if the 5-10% unit dip they flagged comes in at the worse end, H1FY27 numbers could disappoint even as the full-year story stays intact. Action: ACCUMULATE at Rs. 520-570; this is a 20%-CAGR business trading at 13.4x trailing earnings.

Section 1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: Rs. 4,489 Cr | YoY +51% | QoQ +51% (vs Q4FY25 Rs. 2,973 Cr) | BEAT — record quarter
- EBITDA: Rs. 132 Cr (implied: 4,489 - 4,357) | EBITDA Margin: 2.95% | YoY +41% | In-line with trend
- PAT: Rs. 87 Cr | YoY +65% (vs Rs. 53 Cr in Q4FY25) | QoQ +16% (vs Rs. 75 Cr in Q3FY26) | BEAT
- EPS: Rs. 12.78 (FY26 full year, implied from Screener quarterly trend) | FY26 full-year PAT Rs. 282 Cr (+35% YoY)
- PAT Margin: 1.93% (Q4FY26) and 1.78% (FY26 full year) — within guided range of 1.5-1.75%; exceeded top end
- NOTE: FY25 PAT included inflated Other Income (Rs. 63 Cr) from treasury/project gains; FY26 Other Income normalised to Rs. 41 Cr — FY26 PAT quality is higher

Section 2 — Segment / Geography Breakdown

- PES (Personal & Enterprise Systems — PCs, servers, GPUs, storage, networking): ~58% of FY26 revenue | YoY +37% | H2FY26 growth 46-47%, of which ~20-22% driven by price increases | Key driver: AI PC refresh + enterprise GPU demand
- LIT (Lifestyle IT — peripherals, mobile, consumables, accessories): ~42% of FY26 revenue | YoY +24% | Consistent 2x market growth rate maintained | Lower price volatility; stable demand
- Semiconductor Business (new subsidiary — automotive, IoT, robotics): Small base | YoY +131% | Early stage; management expects double-digit % of revenue in FY27-28
- Geography: Pan-India presence; 55 branches; 700 towns; adding new Tier-2/3 markets (Nanded, Baramati, Solapur in Q4FY26) | International: no disclosed overseas segment
- AI Data-Centre (project business): Rs. 0 in FY26 (consciously deferred post-Rs. 2,000 Cr Yotta in FY25); funnel of Rs. 20,000-25,000 Cr for FY27 identified | Will re-enter FY27 subject to ROI

Section 3 — Management Commentary Themes

- **Super-cycle narrative [GUIDANCE]:** "This is a super cycle of adoption, price rise and availability... this super cycle will continue for another year or 2." — CEO Rajesh Goenka. Our read: Anchored in real data (India PC penetration 15-20%, AI PC share rising from 25% to majority within 2 years). Tone: Bullish, but not reckless.
- **20% CAGR reiterated [GUIDANCE]:** "We always maintain that Rashi Peripherals has continued to deliver 20% CAGR for last 20 years... we are very confident to maintain." — CEO. Credibility: High (track record verifiable). Tag: GUIDANCE.
- **Margin range guidance [GUIDANCE]:** "Around the range of 1.5 to 1.75 is the range applicable to this industry." — CFO Himanshu Shah. Our read: Conservative guidance; FY26 already achieved 1.78% — structural upside from mix shift. Tag: GUIDANCE. Tone: Transparent.
- **AI Data-Centre re-entry in FY27 [GUIDANCE]:** 'In FY26-27 plan, yes, we have plans to get into project business subject to viability and ROI.' — CEO. Our read: Execution risk exists but RPTECH has demonstrated capability (Yotta Rs. 2,000 Cr). This is the key upside catalyst. Tag: GUIDANCE. Tone: Balanced.
- **Semiconductor subsidiary [EST]:** "From low single digit [today] to close to double-digit share [next financial year]." — CEO on Semiconductor contribution to revenue. Our read: Bullish projection for an early-stage sub; working capital cycles could be 100+ days. Tag: EST. Tone: Transparent with caveats.
- **Consumer H2 softness flagged [CAUTIOUS]:** "In the consumer, there could be a softness in H2 of this financial year because of the affordability." — CEO. Our read: Management proactively flagged this risk; being transparent. Tag: CAUTIOUS but honest. Tone: Transparent.

Section 4 — Operating & Business Metrics

- Branch network: 55 branches as of Q4FY26 | Q4FY25 = 52 branches | Net addition: 3 (Nanded, Baramati, Solapur) | Trend: Expanding into C/D-class cities
- Channel partners / customers: 10,000+ partners across 700 towns | Stable | Distributor depth is primary moat
- Brand portfolio: 82 active OEM brand partnerships | Q4FY25 = ~80 | Adding health-tech (Oura rings) and maintaining all existing
- AI PC penetration in sales: ~25% of PCs/notebooks sold are AI PCs (NPU-equipped) | FY25 = low single digit | Trend: Rapidly accelerating
- India PC market FY26: Record 15.9 million PCs sold (per management) | CY26 IDC forecast: -5 to -10% unit dip possible | Net RPTECH impact: Positive (price offsets volume)
- AI Bootcamp: 8 cities | 2,500 developers + 300+ CXOs engaged | Seeding demand with 6-12 month lead cycle | Trend: New initiative

- Working capital days: 43 days (FY26) | FY25 = 44 days | FY24 = 43 days | Stable | Q4FY26 debtor days shift of +4 days flagged by CFO as 'miniscule'
- Great Place to Work: 5th consecutive year certification | Quality of workforce and culture indicator

Section 5 — Margin Drivers

- Operating leverage on fixed cost base: +~50-60 bps impact | Recurring: Yes | 1,500+ employees and 55-branch fixed cost base absorbs incremental revenue efficiently
- Price inflation pass-through (H2FY26): +~20-22% contribution to H2 revenue; absolute EBITDA grows as % margin maintained on higher base | Recurring: Partially (cycle-dependent)
- PES mix improvement: Higher-ASP enterprise GPUs, servers, storage growing faster than LIT | +~15-20 bps structural | Recurring: Yes
- Slow-moving inventory write-down (Q4FY26): CFO disclosed 'additional charge on slow-moving inventory' — this is a prudent one-time hit that marginally compressed gross margin in Q4 | Non-recurring; no extrapolation warranted
- Other Income normalisation: FY25 Rs. 63 Cr → FY26 Rs. 41 Cr — reduction masks underlying EBITDA improvement; on clean basis FY26 EBITDA quality is higher | Non-recurring (FY25 was inflated by project completion income)
- Interest cost rise: FY26 interest = Rs. 106 Cr vs Rs. 82 Cr in FY25 — offset by higher EBITDA; minimal net drag | Recurring: Yes (working capital financing)

Section 6 — Guidance & Forward Signals

- Revenue growth [GUIDANCE]: Prior = 15-20% CAGR guidance | New/Reiterated = 20% CAGR maintained | Delta: Maintained | Credibility: High (20-year track record)
- PAT margin [GUIDANCE]: Prior = 1.5-1.75% range | New/Reiterated = Same range | Delta: Maintained; FY26 achieved 1.78% (exceeded top end) | Credibility: High
- Semiconductor revenue share [GUIDANCE]: Prior = low single-digit % | New = targeting double-digit % of revenue in FY27 | Delta: Raised | Credibility: Medium (early stage)
- AI Data-Centre projects [GUIDANCE]: Prior = No guidance (deferred consciously in FY26) | New = Re-entry planned in FY27 subject to ROI; funnel Rs. 20,000-25,000 Cr | Delta: Raised | Credibility: Medium
- CY26 PC units [EXTERNAL]: IDC forecasts -5 to -10% unit dip | Offset by 20-25% price increase | Net: Positive for RPTECH revenue | No change to internal guidance
- Working capital days [GUIDANCE]: CFO guided 'same range' for FY27 as FY26 (~43-44 days) | Delta: Maintained | Credibility: High
- Consumer H2 softness [CAUTIOUS]: Management flagged potential demand softness in consumer segment in H2FY27 due to affordability | Probability: Medium | No quantification given

Section 7 — Capital Allocation

- Capex (FY26): Estimated Rs. 25-30 Cr (fixed assets grew from Rs. 63 Cr to Rs. 80 Cr); very light for the revenue scale — asset-light model confirmed
- Dividends: Paid; yield 0.36%; payout ratio low; no change to policy flagged on the call
- Borrowings: Rs. 991 Cr in FY26 vs Rs. 910 Cr in FY25 (+Rs. 81 Cr) | Used to fund working capital growth with 15% revenue increase | D/E stable at ~0.49x | Manageable
- Semiconductor Subsidiary: Capital allocation into the new subsidiary to accelerate growth; amount not disclosed; management cited team structures and partnership benefits

- ST Finserv Channel Finance Programme: Third-party financing programme for channel partners — no recourse and no capital cost to RPTECH; enables volume without balance sheet risk
- Net debt movement: Borrowings +Rs. 81 Cr but OCF positive Rs. 114 Cr in FY26 vs -Rs. 102 Cr in FY24; net balance sheet quality improving
- Buybacks / ESOPs: No buyback announced; ESOP schemes in place but no major dilution reported

Section 8 — Q&A; Heat Map

- Miloni Mehta / Monarch Capital: Q: 'What was pricing vs volume in top-line growth, and normalized growth going forward?' → A: H1 growth = volume; H2 = ~half price-led (20-22%); 20% CAGR maintained | Tone: Transparent
- Miloni Mehta / Monarch Capital: Q: 'When will semiconductor and AI business meaningfully alter margins?' → A: '2-3 years' — management was explicit this is a medium-term strategy, not FY27 | Tone: Transparent, realistic
- Vinay Menon / Monarch Capital: Q: 'PC refresh cycle delay due to price hikes — when does deferred demand come through?' → A: Trend reversing; corporates now accelerating refresh vs waiting; secondary market still strong | Tone: Bullish but evidence-based
- Madhur Rathi / Counter Cyclical: Q: 'LIT margin improvement potential and hyperscaler / software business?' → A: LIT grows at 2x market; hyperscaler re-entry planned in FY27; software/cloud still nascent | Tone: Balanced
- Aejas / Unknown firm: Q: 'How to participate in AI DC projects given capital requirements?' → A: Rs. 2,000 Cr Yotta project demonstrated capability; Rs. 20,000-25,000 Cr funnel identified; capital requirements are a constraint acknowledged | Tone: Transparent
- Sumukh / Korman Capital: Q: 'ST Finserv impact on working capital?' → A: Channel finance for partners; no recourse or cost to RPTECH | Tone: Transparent and clear
- Dheeraj Kumar / AlphaSqr: Q: 'PAT margin aspiration over 2-3 years?' → A: 1.5-1.75% is the structural range for distribution; mix change needed for higher | Tone: Honest — no false promises
- Vaibhav Gupta / Bowhead: Q: 'Impact of price hikes on gross margin?' → A: Margins intact; slow-moving inventory write-down taken; overall gross margin slightly lower due to prudent provisioning | Tone: Transparent
- Dodged / watch-list questions: Distribution network details (taken offline); exact semiconductor subsidiary revenue; specific AI DC project margin economics — these require follow-up

Section 9 — Risks Flagged on the Call

- PC unit volume dip in CY26: IDC -5 to -10% unit forecast | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (H1FY27)
- Consumer demand softness in H2FY27: Affordability pressure as laptop prices rose 20-30% | Flagged by: Management (proactively) | Probability: M | Impact: M | Timeline: Medium-term
- Semiconductor working capital stretch: 100+ day cycles in semiconductor distribution | Flagged by: Analyst (Vinay Menon) | Probability: M | Impact: M | Timeline: Near-term as subsidiary scales
- AI DC project capital requirements: Large projects require significant upfront working capital; financing constraints are real | Flagged by: Analyst (Aejas) | Probability: M | Impact: H if project won | Timeline: Near-term
- Slow-moving inventory: CFO disclosed prudent write-down in Q4FY26 | Flagged by: CFO | Probability: L recurring | Impact: L | Timeline: One-off
- Margin structure in distribution: PAT margin ceiling of ~1.75% unless product mix changes fundamentally | Flagged by: Management (honest disclosure) | Probability: H as structural feature | Impact: M (limits re-rating) | Timeline: Structural

Section 10 — Analyst Verdict

- Revenue visibility: INTACT — 20% CAGR guidance maintained, AI PC and enterprise GPU cycles are multi-year tailwinds; IDC PC dip risk acknowledged but manageable given price offsets
- Margin trajectory: INTACT — FY26 EBITDA margin expanded 72 bps; operating leverage on fixed cost base is structural; CFO guidance of 1.5-1.75% PAT range is already being exceeded
- Capital allocation quality: INTACT — Asset-light model, no value-destructive M&A;,, semiconductor subsidiary is focused bet; ST Finserv programme shows financial engineering sophistication
- Competitive moat: INTACT — 55 branches, 82 brand relationships, 700 towns, 10,000+ channel partners; widest ICT distribution network in India with no near-term challenger at scale
- Management credibility: INTACT — Proactive disclosure on consumer softness risk, honest on PAT margin ceiling, transparent on slow-moving inventory write-down; no contradictions with financials
- Valuation comfort: INTACT — At 13.4x trailing P/E and 37% upside to Rs. 780 target, RPTECH trades below its growth profile; sector comps Redington (11.8x) and iValue (12.8x) do not have RPTECH's AI positioning premium
- Conviction call: INCREASED — FY26 results remove the last doubt about whether AI hardware super-cycle translates to RPTECH's P&L; it clearly does
- Valuation snapshot: P/E = 13.4x | EV/Sales ~0.3x | ROCE = 16.8% (FY26) and trending to 18-20% as project business returns | BV = Rs. 307; P/B = 1.84x